# PRODUCT WRITE-UP

**PLAN NAME:** **CENTENNIAL WONDER (CW-EDM)**
**PLAN CODE:** **0280**
**LAUNCH DATE:** **1st NOVEMBER 2009 (RE-LAUNCH)**

**Offer Period:** 1 month, from 1st November 2009 to 30th November 2009 (based on proposal submission date and both dates inclusive) or until sales amount reach RM30 million, whichever occurs first.

## PLAN DESCRIPTIONS

1. This is a limited pay Endowment plan with participation in profits.
2. Survival Benefits are payable every year.
3. Term of assurance offered is 25 years.
4. Premium payment term is limited to 8 years.

## PLAN BENEFITS

**1. Death Benefit**

Upon death of the Life Assured, the Company will pay
(a) basic sum assured;
(b) accumulated survival benefit (if any);
(c) any cash bonus (including accumulated cash bonus, if any); and
(d) terminal bonus on death (if any);
in one lump sum.

In the event of death of the Life Assured occurring before age 5 next birthday, a child lien as follows shall apply:

| Age Next Birthday on Policy Anniversary Preceding Death | Death Benefit |
|---|---|
| 1 | 20% of basic sum assured |
| 2 | 40% of basic sum assured |
| 3 | 60% of basic sum assured |
| 4 | 80% of basic sum assured |

**2. Total & Permanent Disability (TPD) Benefit**

Upon TPD of the Life Assured between age 5 and 65 next birthday,
(a) All future premiums up to a maximum of RM 2,000,000 of basic sum assured shall be waived;
(b) The basic sum assured not exceeding RM 1,000,000 shall be advanced in one lump sum; and
(c) The basic sum assured exceeding RM 1,000,000, if any, but not exceeding RM 2,000,000, will be payable in two equal annual payments.

In addition, accumulated survival benefit (if any) and cash bonus (if any) will be payable in one lump sum whereas terminal bonus on TPD (if any) shall be advanced proportionately in the same manner as the basic sum assured.

An overall TPD limit of RM 3,500,000 shall apply on any one life across all distribution channels.

A child lien (as per death benefit) shall apply for child before age 5 next birthday with maximum TPD limit of RM 500,000 on any one life across all distribution channels.

**3. Survival Benefit**

Upon survival of the Life Assured, a % of basic sum assured will be payable every year, starting from the 1st policy anniversary until death, TPD or maturity of the policy, whichever occurs first.

The survival benefit rates are shown as follows:

| Upon survival to the end of Policy Year | As a % of basic sum assured |
|---|---|
| | 25-year Policy Term |
| 1 – 10 | 2.75% |
| 11 – 20 | 3.75% |
| 21 – 25 | 4.75% |
| 26 – 30 | N.A. |
| 31 – 35 | N.A. |
| **TOTAL** | **88.75%** |

Four options are available pertaining to Survival Benefit:

Option 1: To receive each Survival Benefit / Cash Bonus, if any, when it is payable, with authority to the Company to first utilise the survival benefits to pay any Automatic Premium Loan and Cash Loan before paying the remaining balance, if any, to You.

Option 2: To apply the survival benefit / cash bonus, if any, when it is payable, to pay any Automatic Premium Loan, Cash Loan and any premium due until all the survival benefits / cash bonuses, if any, are exhausted. Any balance remaining will be left on deposit with the Company.

Option 3: To leave all survival benefits / cash bonuses, if any, on deposit with the Company. However, if the Total Indebtedness exceeds the surrender value (excluding bonuses, if any) of the policy at any time, this option shall automatically be changed to Option 2.

Option 4: Option (3) for ___ years from the Date of Commencement of the policy and Option (2) thereafter.

**4. Maturity Benefit**

Upon survival of the Life Assured to the maturity date of policy, the Company will pay:
(a) basic sum assured;
(b) survival benefit on the final year;
(c) accumulated Survival Benefit (if any);
(d) any cash bonus (including accumulated cash bonus, if any); and
(e) terminal bonus on maturity (if any);
in one lump sum.

**5. Cash Bonus (Non-guaranteed)**

The cash bonus that would be declared may be more or less, depending on the operating and investment results experienced by the Company. Any cash bonus declared for the first and second policy years shall vest and be payable only after the policy has been in-force for 2 full years.

| Policy Year | % of basic sum assured |
|---|---|
| Throughout the policy term | 2.25% |

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Option 4: Option (3) for ___ years from the Date of Commencement of the policy and Option (2) thereafter.

**6. Terminal Bonus (Non-guaranteed)**

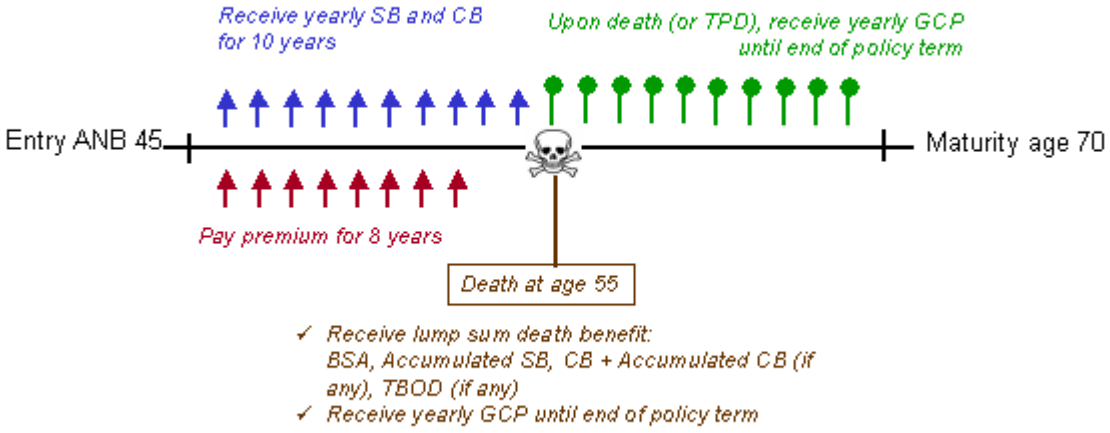
The terminal bonuses are non-guaranteed. It will be payable upon one of the following conditions: -

(a) Death or TPD
(b) Surrender
(c) Maturity

**Sample Case Study**

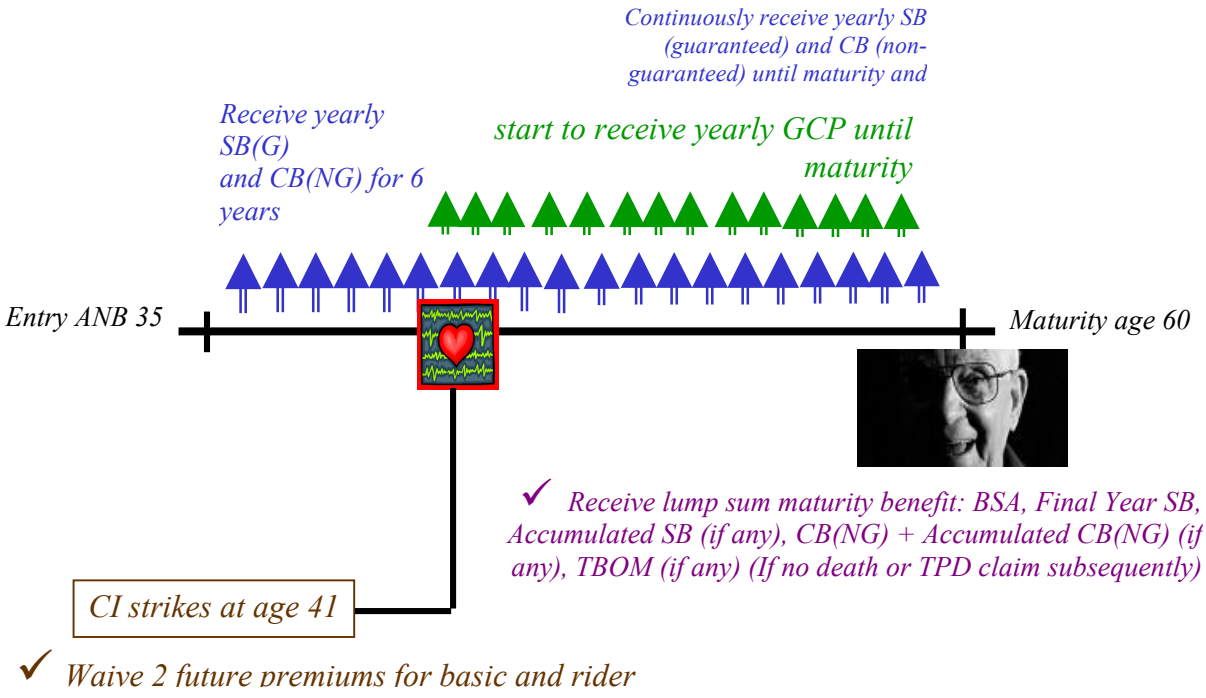
**Example 1:**

Assuming Centennial Wonder **basic and rider** with coverage term of 25 years and premium payment term of 8 years.



**Example 2**

Assuming Centennial Wonder **basic and rider** with coverage term of 25 years and premium payment term of 8 years.




**UNDERWRITING**

1. **Entry Age**
   Minimum : 30 days attained age
   Maximum : 55 years next birthday
   *Maximum expiry age is 80 years next birthday.

2. **Policy Term**
   Term of policy available is 25 years.

3. **Sum Assured**
   Minimum : RM 20,000
   Maximum : Subject to underwriting.

4. **Underwriting Requirement**
   Full underwriting.

5. **Underwriting for Substandard Life**
   Depending on the nature and severity of the risks presented. Some risks may be accepted with extra premium loading and/or exclusion clause, however some may have to be declined or postponed.

## PREMIUM

1. **Premium Payment Modes and Modal Factors**
   This is an annual premium plan but it can also be purchased with half-yearly, quarterly or monthly premium installments.

   In case where premium payments are made other than annual premium, the following factors are to be applied to the annual premium to arrive at the installment premium:

| Mode of Premium Payment | Factors |
|---|---|
| Half-Yearly | 0.5100 |
| Quarterly | 0.2575 |
| Monthly | 0.0875 |

2. **Premium Payment Method**
   Cash, GIRO, Banker's Order, cheque and credit card are allowed for all modes of premium payments. Cash / cheque is not applicable for monthly premium payment mode.

3. **Premium Payment Term**
   Premium payment term available is 8 years.

4. **Backdating**
   Standard backdating conditions apply.

5. **Female Rates**
   Same premium rates are available for Female and Male.

6. **Advanced Premium**
   Follow the standard application of Advanced Premium Account.

*Note:*
Kindly refer to page 7 for the indicative premium rates.

## DISCOUNTS

1. **Large Sum Assured Discount**
   Not applicable.

2. **Non-smoker Discount**
   Same premium rates applicable to smoker and non-smoker.

3. **Female Discount**
   Same premium rates applicable to male and female.

## ATTACHABLE RIDERS AND SUPPLEMENTARY BENEFITS

1. Centennial Wonder Rider (Plan Code: U70)
2. Payer Benefit(Plan Code: U8)
3. Payer Benefit Plus (Plan Code: W21)

## EXTRA PRIVILEGES

1. **Option to Purchase New Policy at Maturity (Standard Life only) – applicable for child policies only**
   If the policy matures while Life Assured is at least 19 years next birthday but does not more than 26 years next birthday, the Life Assured can exercise this option to purchase new policy within 30 days before or after the maturity date of the policy.

   The new policy shall be a new ordinary level annual premium Whole Life or Endowment policy in use by the Company at the date of option for an amount of assurance up to the basic sum assured of the policy at a premium which shall be at the same class of rating as the basic policy and in accordance with the Company's rate that in use at the date of option for the attained age of the Life Assured without further evidence of assurability of the Life Assured provided that the aggregate sum assured purchased by the Life Assured with respect to this or similar options on all policies does not exceed RM 200,000.

   This option shall not include the right to purchase a Living Assurance policy or any policy similar to a Living Assurance policy.

   Total and Permanent Disability benefits, riders or supplementary contracts may be added to the new policy subject to the Company's rules at the date of exercising this option, provided that evidence of assurability satisfactory to the Company is furnished.

2. **Conversion Privilege**
   Not applicable.

## OTHER FEATURES

1. **Cash Surrender Values**
   Act minimum surrender values are acquired after the policy has been in force for three (3) full policy years. However, due to the requirement to pay Surrender Value = Asset Share of the policy, terminal bonus on surrender may be payable immediately from the point of inception if the Asset Share calculations warrants it.

2. **Policy Loans**
   Up to 92% of the policy loan cash surrender value; where the latter is defined as the total cash surrender values for this plan excluding terminal bonus. Note that cash surrender values for attaching riders (if any) will also not be taken into account in determining the policy loan cash value.

3. **Automatic Premium Loan**
   After the policy has acquired surrender values, the policy shall not become void for non-payment of renewal premium within the 30 days grace period so long as the surrender values are sufficient to advance the premium due.

4. **Extended Term Assurance**
   After the policy has acquired surrender values, the policy may be converted to a non-participating Extended Term Assurance for a reduced policy term with the same basic sum assured payable in the event of death of the Life Assured during the term covered.

   If the surrender values are more than sufficient to provide coverage to the maturity of the original term, the excess amount (if any) shall be refunded in cash at the date of conversion.

   TPD benefit, survival benefit and maturity benefit shall cease upon conversion to Extended Term Assurance. Similarly, all attaching riders (if any) shall be terminated.

5. **Paid-Up Assurance**
   After the policy has acquired surrender values, the policy may be converted to a non-participating Paid-Up Assurance with a reduced sum assured payable in the event of death of the Life Assured.

   TPD benefit and survival benefit shall cease upon conversion to Paid-Up Assurance. Similarly, all attaching riders (if any) shall be terminated.

6. **Free-Look Period**
   Policyholder is allowed to cancel the policy within 15 days. Under such circumstance, total premium paid minus the expenses incurred for medical examination (if any) will be refunded and commissions will be clawed back accordingly.

7. **Assignment**
   Allowed.

8. **3rd Party Policy**
   Allowed.

9. **Reinstatement**
   Standard reinstatement conditions for Endowment policies apply.

10. **Special Revival**
    Not allowed when there is an APL lapse, as per current practice. Note that there may be APL lapse in the first two years because the policy may have surrender value (TB on surrender).

## FORMS REQUIRED FOR NEW BUSINESS SUBMISSION

1. Proposal Form
2. Agent's/Financial Advisor's Representative (FAR) Confidential Report
3. Confirmation of Advice (CA)
4. Customer Fact Find (CFF) Form
5. Survival Benefit and Cash Bonus Option form (optional)
6. Request for Non-Incorporation of Vesting Clause (optional, juvenile plans only)

## EXCLUSIONS

No payment of benefits will be payable for any of the following:
1. Death during the first policy year as a result of suicide;
2. Total and Permanent Disability caused directly or indirectly, by self-inflicted injuries, while sane or insane;
3. Total and Permanent Disability cased by bodily sustained as a result of parachuting or sky diving or engaging in aerial flights other than as a crew member or as a fare-paying passenger of an International Airline operating on a regular scheduled route;
4. Total and Permanent Disability existed at Risk Commencement Date or at the date of any reinstatement, whichever is later.

For full details of exclusions, kindly refer to individual policy contract.

## ANNUAL PREMIUM RATES PER RM1,000 BASIC SUM ASSURED

| **Policy term** | 25 years |
|---|---|
| **Premium payment term** | 8 years |
| **Premium rates for all ages (RM)** | 188 |

***-End-***